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Court of Appeal for British Columbia | Bauman C.J.B.C., Saunders and Groberman JJ.A.

CITATION: Kalin v. Campbell, 2014 BCCA 441 | DOCKET: CA041782 | DATE: 20141118
On appeal from: An order of the Supreme Court of British Columbia, entered March 14, 2014 (2014 BCSC 412).

REASONS FOR JUDGMENT OF THE COURT:

[1] This appeal concerns the scope of pre-trial document disclosure under Supreme Court Civil Rule 7-1, and the proper test to be applied when a party seeks supplementary production of underlying financial records in a commercial joint venture dispute.

[2] Rule 7-1(1) requires a party to deliver a list of all documents that are or have been in the party's possession or control and that could be used by any party at trial to prove or disprove a material fact. Where an opposing party establishes that the list is incomplete, Rule 7-1(11) and Rule 7-1(18) grant the court broad authority to order a supplementary list and production for inspection.

[3] The associate judge below held that the plaintiff was obliged to accept summary spreadsheet reports prepared by the defendant's internal bookkeeper, reasoning that unredacted raw bank records were commercially sensitive. We respectfully disagree.

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Fiduciary Duty of Accounting & Commercial Sensitivity

[4] Where a fiduciary or contractual duty of accounting is pleaded in relation to designated joint venture funds, the underlying bank statements and source transaction vouchers are fundamentally material. A party claiming an accounting is not required to accept their opponent's self-selected summaries. Transparency is the bedrock of the disclosure process.

[5] Nor does a generalized claim of 'commercial sensitivity' preclude disclosure. Where sensitive proprietary terms exist, the appropriate mechanism is a confidentiality undertaking or protective order, not an outright refusal to produce.

[6] Having regard to the proportionality principles in Rule 1-3, the production of electronic bank records presents negligible cost or burden to the party holding them.

[7] The appeal is allowed. The respondents shall deliver a verified supplementary list and produce the bank records within 14 days.

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Disposition and Orders

[8] In conclusion, the order of the chambers judge dismissing the application for production is set aside.

[9] The appellant is awarded the costs of this appeal and of the application in the court below.

'The Honourable Chief Justice Bauman'

'The Honourable Madam Justice Saunders'

'The Honourable Mr. Justice Groberman'